

Taxable Equivalent Yield The return on a higher-paying but taxable investment that would equal the return on a tax-free investment. The determination depends on the investor's tax bracket.

Tax Deferral Delaying the payment of income taxes on investment income. For example, owners of traditional IRAs do not pay income taxes on the interest, dividends, or capital gains accumulating in their retirement accounts until they begin making withdrawals.

Tax-Exempt Bond A bond, usually issued by a municipal, county, or state government, whose interest payments are not subject to federal tax and in some cases state and local income taxes.

Tax Swapping Creating a tax loss by the simultaneous sale of one investment or fund and purchase of a similar investment or fund that is not substantially identical to it.

Total Return A percentage change, over a specified period, in a mutual fund's net asset value, with the ending net asset value adjusted to account for the reinvestment of all distributions of dividends and capital gains.

Transaction Fee/Commission A charge assessed by an intermediary, such as a broker-dealer or a bank, for assisting in the sale or purchase of a security.

Treasury Security A negotiable debt obligation issued by the U.S. government for a specific amount and maturity. Income from Treasury securities is exempt from state and local taxes but not from federal income tax. Treasury securities include Treasury bills (T-bills; 1 year or less), Treasury notes (T-notes; 1 to 10 years), and Treasury bonds (T-bonds; over 10 years).

Turnover Rate An indication of trading activity during the past year. Portfolios with high turnover rates incur higher transaction costs and are more likely to distribute capital gains (which are taxable to nonretirement accounts).

Unit Investment Trust (UIT) An SEC-registered investment company that purchases a fixed, unmanaged portfolio of income-producing securities and then sells shares in the portfolio to investors, usually in units of at least \$1,000. Usually, it is sold by an intermediary such as a broker.